

MERIDIAN ENTERPRISE DISCLOSURE (PTY) LTD

(Registration number 2020/160016/07)

Trading as Meridian Enterprise

ANNUAL FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2026

Independent Audit Partners
Registered Auditors

Meridian Enterprise Disclosure (Pty) Ltd

(Registration number: 2020/160016/07)

Annual Financial Statements for the year ended 31 March 2026

General Information

Country of incorporation and domicile	South Africa
Nature of business and principal activities	Industrial components distribution.
Directors	A. Director C. Director
Registered office	2 Disclosure Way, Sandton, 2196
Auditors	Independent Audit Partners
Company secretary	B. Secretary
Company registration number	2020/160016/07
Level of assurance	These annual financial statements have been audited in compliance with the applicable requirements of the Companies Act of South Africa.

Meridian Enterprise Disclosure (Pty) Ltd

(Registration number: 2020/160016/07)

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The reports and statements set out below comprise the annual financial statements presented to the shareholders:

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Directors' Responsibilities and Approval

The directors are required by the Companies Act of South Africa to maintain adequate accounting records and are responsible for the content and integrity of the annual financial statements of Meridian Enterprise Disclosure (Pty) Ltd and related financial information included in this report. It is their responsibility to ensure that the annual financial statements fairly present the state of affairs of the company as at the end of the financial year and the results of its operations and cash flows for the period then ended, in conformity with IFRS for SMEs.

The directors acknowledge that they are ultimately responsible for the system of internal financial control established by the company and place considerable importance on maintaining a strong control environment. To enable the directors to meet these responsibilities, the board sets standards for internal control aimed at reducing the risk of error or loss in a cost-effective manner.

The directors are of the opinion, based on the information and explanations given by management, that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss.

The directors have reviewed the company's cash flow forecast for the year ahead and, in light of this review and the current financial position, they are satisfied that the company has access to adequate resources to continue in operational existence for the foreseeable future.

The annual financial statements set out on the pages that follow, which have been prepared on the going concern basis, were approved by the board of directors on 2 October 2026 and were signed on their behalf by:

A. Director

Director

C. Director

Director

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Directors' Report

The directors have pleasure in submitting their report on the annual financial statements of Meridian Enterprise Disclosure (Pty) Ltd for the year ended 31 March 2026.

1. Nature of business

The company is engaged in industrial components distribution and operates principally in South Africa. There have been no material changes to the nature of the company's business from the prior year.

2. Directors

The directors in office at the date of this report are A. Director and C. Director. There have been no changes to the directorate for the year under review.

3. Events after the reporting period

The directors are not aware of any material event which occurred after the reporting date and up to the date of this report.

4. Going concern

The directors believe that the company has adequate financial resources to continue in operation for the foreseeable future and accordingly the annual financial statements have been prepared on a going concern basis. The directors have satisfied themselves that the company is in a sound financial position and that it has access to sufficient borrowing facilities to meet its foreseeable cash requirements.

5. Secretary

The company secretary is B. Secretary, and the registered office of the company is 2 Disclosure Way, Sandton, 2196.

6. Auditors

Independent Audit Partners will continue in office as auditors of the company.

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Independent Auditor's Report

To the shareholders of Meridian Enterprise Disclosure (Pty) Ltd

The independent auditors of the company are Independent Audit Partners. Their report on these annual financial statements is addressed to the shareholders and is inserted here when issued upon completion of the audit engagement.

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Statement of Financial Position as at 31 March 2026

Figures in Rand	Note(s)	2026	2025
Property, plant and equipment	3	8 500 000	7 200 000
Inventories	4	2 100 000	1 800 000
Trade and other receivables	5	1 650 000	1 400 000
Cash and cash equivalents	12	980 000	750 000
Total assets		13 230 000	
Share capital	6	1 000 000	
Retained earnings	6	8 230 000	
Trade and other payables	8	1 900 000	
Borrowings	7	2 100 000	
Total equity and liabilities		13 230 000	

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Statement of Comprehensive Income

Figures in Rand	Note(s)	2026	2025
Revenue	10	18 500 000	
Expenses		(14 200 000)	
Finance costs	7	420 000	
Tax expense	11	972 500	
Profit before tax		3 880 000	

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Statement of Changes in Equity

Figures in Rand	Note(s)	2026	2025
Opening equity		6 322 500	
Profit for the period		2 907 500	
Closing equity		9 230 000	

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Statement of Cash Flows

Figures in Rand	Note(s)	2026	2025
Net cash from operating activities		3 100 000	
Net cash from investing activities		(1 200 000)	
Net cash from financing activities		(650 000)	

Accounting Policies

1. Basis of preparation and summary of significant accounting policies

These annual financial statements have been prepared in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities (IFRS for SMEs) issued by the International Accounting Standards Board. They are presented in the functional currency of the entity and have been prepared on the going concern and accrual bases under the historical cost convention, except where the IFRS for SMEs requires or permits another measurement basis. Assets and liabilities are presented as current or non-current. Comparative information is presented for the preceding period unless the IFRS for SMEs permits otherwise.

1.1 Significant judgements and sources of estimation uncertainty

In applying the entity's accounting policies, management makes judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors considered relevant. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period of the revision and future periods affected. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements, include the useful lives and residual values of property, plant and equipment and intangible assets, impairment assessments, the measurement of provisions, the recoverability of deferred tax assets, and the impairment of financial assets measured at amortised cost.

1.2 Revenue

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership have been transferred to the buyer, the entity retains neither continuing managerial involvement nor effective control, the amount of revenue can be measured reliably, it is probable that the economic benefits will flow to the entity, and the costs incurred or to be incurred can be measured reliably. Revenue from the rendering of services is recognised by reference to the stage of completion of the transaction at the reporting date when the outcome can be estimated reliably. Interest is recognised using the effective interest method; royalties on an accrual basis; and dividends when the shareholder's right to receive payment is established. Revenue is measured at the fair value of the consideration received or receivable, net of value added tax, trade discounts and volume rebates. Judgement is applied in determining the stage of completion of service transactions and whether the risks and rewards of ownership have transferred.

1.3 Property, plant and equipment

An item of property, plant and equipment is recognised as an asset when it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably. Items are measured initially at cost, comprising the purchase price and any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. After initial recognition, property, plant and equipment is measured at cost less accumulated depreciation and accumulated impairment losses. Depreciation is charged so as to allocate the cost of assets less residual values over their estimated useful lives, using the straight-line method unless another method better reflects the pattern of consumption of economic benefits. An item is derecognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss is included in profit or loss. Useful lives, residual values and depreciation methods are reviewed when events or changes in circumstances indicate that they may have changed, and any change is accounted for as a change in accounting estimate.

Accounting Policies

1.4 Financial instruments

The entity recognises a financial asset or a financial liability only when it becomes a party to the contractual provisions of the instrument. Basic financial instruments within the scope of Section 11 are accounted for under that section. Other financial instruments and transactions are accounted for under Section 12. Basic financial instruments are measured initially at the transaction price, including transaction costs, except where the arrangement constitutes a financing transaction, in which case they are measured at the present value of future payments discounted at a market rate of interest for a similar debt instrument. At the end of each reporting period, basic debt instruments are measured at amortised cost using the effective interest method, less impairment. Commitments to receive or make a loan that cannot be settled net in cash are measured at cost less impairment. Investments in non-convertible preference shares and non-puttable ordinary shares are measured at fair value if fair value can be measured reliably, otherwise at cost less impairment. Other financial instruments within Section 12 are measured at fair value through profit or loss, except for equity instruments without a quoted price whose fair value cannot be measured reliably, which are measured at cost less impairment. A financial asset is derecognised when the contractual rights to the cash flows expire or are settled, or substantially all risks and rewards of ownership are transferred. A financial liability is derecognised only when it is extinguished.

1.5 Impairment of assets

At each reporting date the entity assesses whether there is any indication that an asset may be impaired. If any such indication exists, the recoverable amount of the asset is estimated. Goodwill and intangible assets with an indefinite useful life, or not yet available for use, are tested for impairment when there is an indication of impairment. An impairment loss is recognised immediately in profit or loss when the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the higher of fair value less costs to sell and value in use. Impairment losses on goodwill are not reversed. For other assets, an impairment loss is reversed if the reasons for the impairment have ceased to apply, limited to what the carrying amount would have been had no impairment been recognised.

1.6 Inventories

Inventories are measured initially at cost, comprising all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. Inventories are subsequently measured at the lower of cost and estimated selling price less costs to complete and sell. Cost is assigned using the first-in, first-out or weighted-average cost formula. The same cost formula is used for all inventories having a similar nature and use.

1.7 Provisions and contingencies

A provision is recognised when the entity has an obligation at the reporting date as a result of a past event, it is probable that the entity will be required to transfer economic benefits in settlement, and the amount of the obligation can be estimated reliably. Contingent liabilities are not recognised as liabilities. Contingent assets are not recognised as assets. Provisions are measured at the best estimate of the amount required to settle the obligation at the reporting date, discounted where the effect of the time value of money is material.

Accounting Policies

1.8 Employee benefits

The cost of short-term employee benefits is recognised as an expense in the period in which the employee renders the related service, unless another section requires or permits inclusion in the cost of an asset. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans and for accumulating compensated absences when the employees render service that increases their entitlement. Contributions to defined contribution plans are recognised as an expense as the employee renders service. For defined benefit plans, the entity uses the projected unit credit method to measure its defined benefit obligation and the related expense, unless undue cost or effort would be involved, in which case the entity is permitted to simplify measurement in accordance with Section 28. Other long-term employee benefits and termination benefits are recognised and measured in accordance with Section 28.

1.9 Income tax

Current tax is the amount of income tax payable or recoverable in respect of the taxable profit or tax loss for the current or prior periods, measured using tax rates and laws that have been enacted or substantively enacted by the reporting date. Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities and their tax bases, and unused tax losses and tax credits, using the tax rates expected to apply when the temporary difference reverses. A deferred tax asset is recognised only to the extent that it is probable that taxable profit will be available against which the deductible temporary difference, unused tax losses or unused tax credits can be utilised. Deferred tax is not discounted.

1.10 Borrowing costs

All borrowing costs are recognised as an expense in profit or loss in the period in which they are incurred.

1.11 Liabilities and equity

Equity is the residual interest in the assets of the entity after deducting all its liabilities. An instrument is classified as a liability or as equity in accordance with the substance of the contractual arrangement. Members' shares in co-operative entities and similar instruments are classified in accordance with Section 22. Treasury shares are presented as a deduction from equity. No gain or loss is recognised in profit or loss on the purchase, sale, issue or cancellation of an entity's own equity instruments.

Notes to the Annual Financial Statements

Figures in Rand	2026	2025
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2. General information

These annual financial statements are the financial statements of the entity for the reporting period presented. The entity is incorporated and domiciled in its country of registration, and its principal activities are those disclosed in the directors' report or equivalent. The financial statements were authorised for issue by those charged with governance on the date stated on the approval page.

3. Property, plant and equipment

Property, plant and equipment is carried at cost less accumulated depreciation and accumulated impairment losses. Depreciation is recognised so as to write off the cost of assets less residual values over their useful lives on a straight-line basis.

The reconciliation of the carrying amount at the beginning and end of the period, and the depreciation charge for the year, are set out below. Useful lives applied during the period are consistent with those disclosed in the accounting policies, unless a change in estimate has been made.

Carrying amount at the end of the year	8 500 000	7 200 000
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4. Inventories

Inventories are stated at the lower of cost and estimated selling price less costs to complete and sell. The carrying amounts by category and any write-down recognised as an expense are set out below.

Total inventories	2 100 000	1 800 000
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5. Trade and other receivables

Trade and other receivables are basic financial assets measured at amortised cost less any impairment. The analysis of receivables is set out below.

Total trade and other receivables	1 650 000	1 400 000
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6. Share capital and equity

The authorised and issued share capital of the entity, including any shares issued or redeemed during the period and rights, preferences and restrictions, are set out below. For entities without share capital, information equivalent to that required for share capital is presented for each category of equity.

7. Borrowings

Borrowings are basic financial liabilities measured at amortised cost using the effective interest method. The analysis of borrowings, including the current and non-current portions, is set out below. Where there has been a breach of loan covenants that has not been remedied at the reporting date, the particulars of the breach are disclosed.

8. Trade and other payables

Trade and other payables are basic financial liabilities measured at amortised cost. The analysis by class is set out below.

Notes to the Annual Financial Statements

Figures in Rand	2026	2025
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9. Financial instruments

Financial instruments are classified as basic financial instruments within Section 11 or as other financial instruments within Section 12. Basic debt instruments are measured at amortised cost using the effective interest method, less impairment. Other financial instruments are measured at fair value through profit or loss, except where Section 12 requires or permits cost less impairment.

The carrying amounts of financial assets and financial liabilities by category are set out below.

Categories of financial instruments

Trade and other receivables	1 650 000	1 400 000
Cash and cash equivalents	980 000	750 000

10. Revenue

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the entity's activities, net of value added tax, rebates and discounts. The analysis of revenue for the period is set out below.

11. Income tax

The income tax expense comprises current and deferred tax. A reconciliation between the tax expense and the product of accounting profit multiplied by the applicable tax rate is set out below, together with an explanation of changes in the applicable rate where relevant.

12. Notes to the statement of cash flows

Cash and cash equivalents comprise cash on hand and demand deposits, and other short-term highly liquid investments readily convertible to known amounts of cash. The reconciliation of profit or loss to cash generated from operations, and the major classes of cash flows, are set out below.

13. Events after the end of the reporting period

Events after the end of the reporting period are those events, favourable and unfavourable, that occur between the end of the reporting period and the date when the financial statements are authorised for issue. Adjusting events are reflected in the amounts recognised. Material non-adjusting events are disclosed, including the nature of the event and an estimate of its financial effect, or a statement that such an estimate cannot be made. Those charged with governance are not aware of any material non-adjusting events requiring disclosure, other than as set out in this note if applicable.